# Construction Partners (ROAD)
## Roll-Up Executing

Construction Partners screens as a Hold with a $66.39 blended target, 21% below the current price.

**Analyst: Justin Wen**

| HOLD | $66.39 | -21% | $84.38 |
|---|---|---|---|
| INVESTMENT RATING | BLENDED TARGET | BLENDED UPSIDE | REFERENCE PRICE |

Roll-Up Executing. FY25 revenue grew 54% to $2.81B with adjusted EBITDA up 92% to $423.7M [10-K FY25]. Q3 FY26 added 28% revenue growth and a record $3.36B backlog [10-Q Q3 FY26]. Seventeen acquisitions since FY2024 have been integrated across eight Sunbelt states. Our Math Disagrees With the Market. At $82.71 [Mkt 17-Oct-26], our DCF base of $62.61 implies 24.3% downside. Analysts see $133.50 on average, but the model says the market already prices an 11.5% growth rate. Honest read: a good company at a full price.

## The latest print

**Our Math Disagrees With the Market.** At $82.71, our DCF base of $62.61 implies 24.3% downside. Analysts see $133.50 on average, but the model says the market already prices an 11.5% growth rate. Honest read: a good company at a full price.

**Leverage Is the Swing Factor.** 3.2x debt-to-EBITDA with $90.4M of annual interest is the main thing standing between this business and a higher multiple. Getting to the 2.5x target is the clearest path to closing the valuation gap.

| $999.4M | $163.0M | $1.08 | $3.36B | $2.81B | ~3.2x |
|---|---|---|---|---|---|
| REVENUE (Q3 FY26) | ADJ EBITDA (Q3 FY26) | ADJ EPS (Q3 FY26) | BACKLOG (Q3 FY26) | REVENUE (FY2025) | DEBT / EBITDA (TTM) |

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Construction Partners, Inc. valuation framework

## Key metrics in detail

| METRIC | LATEST | VS YEAR AGO | TREND |
|---|---|---|---|
| **Revenue (Q3 FY26)** | $999.4M | +28.2% | Up |
| **Adj EBITDA (Q3 FY26)** | $163.0M | +24% | Up |
| **Adj EPS (Q3 FY26)** | $1.08 | +33% | Up |
| **Backlog (Q3 FY26)** | $3.36B | +14.3% | Up |
| **Revenue (FY2025)** | $2.81B | +54% | Up |
| **Debt / EBITDA (TTM)** | ~3.2x | n/a | Flat |
| **FY2026 Revenue Guide** | $3.64-3.68B | n/a | Up |

## The moat

Federal and state infrastructure funding; public contract awards expected up 10-15% in FY2026

## The growth engine

Vertical integration with over 50% of liquid asphalt supplied internally, supporting pricing power

## Three scenarios make the valuation range explicit

Three scenarios, weighted 25% / 50% / 25% into the blended target.

| SCENARIO | WEIGHT | 2026-30 CAGR | 2030 REVENUE | 2030 EBIT MARGIN | TARGET | UPSIDE |
|---|---|---|---|---|---|---|
| **Bear** | 25% | 4.5% | $4.36B | 7.7% | **$34.69** | -59% |
| **Base** | 50% | 8.5% | $5.07B | 9.5% | **$62.38** | -26% |
| **Bull** | 25% | 13.5% | $6.07B | 11.7% | **$106.12** | +26% |

**Bear:** downside case at $34.69 (-59%).

**Base:** central case at $62.38 (-26%).

**Bull:** upside case at $106.12 (+26%).

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# The probability-blended target implies 21% downside

A 25% Bear / 50% Base / 25% Bull weighting implies -21% from the $84.38 reference price.

**$66.39**
BLENDED TARGET

The valuation uses a multi-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

Mechanics are explicit. The bridge runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

| | |
|---|---|
| Revenue base (2025E) | **$3.66B** |
| Valuation horizon | **2026-2030** |
| Live WACC | **8.48%** |
| Terminal growth | **3.0%** |
| Net debt | **$1.79B** |
| 2030 FCF (Base) | **$338M** |
| 10-year Treasury yield | **5.1%** |
| Beta | **0.95** |
| Equity risk premium | **3.4%** |

**HOLD | $66.39 blended target | Wen**

## The reverse DCF: what the market prices in

Holding the base-case FCF margin flat, the market-implied revenue CAGR is 12.0%. at/above Base (8.5%) — constructive

## Reverse DCF sensitivity

Implied enterprise value and share price at each five-year revenue CAGR, with the base-case free cash flow margin held flat. The highlighted row sits nearest the market-implied CAGR.

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| CAGR | Implied EV | Implied price | CAGR | Implied EV | Implied price | CAGR | Implied EV | Implied price |
|---|---|---|---|---|---|---|---|---|
| +0% | $4.3B | $44.37 | +20% | $8.5B | $118.66 | +40% | $15.4B | $239.04 |
| +1% | $4.5B | $47.21 | +21% | $8.8B | $123.46 | +41% | $15.8B | $246.55 |
| +2% | $4.6B | $50.13 | +22% | $9.1B | $128.38 | +42% | $16.2B | $254.22 |
| +3% | $4.8B | $53.14 | +23% | $9.4B | $133.41 | +43% | $16.7B | $262.05 |
| +4% | $5.0B | $56.24 | +24% | $9.7B | $138.57 | +44% | $17.1B | $270.04 |
| +5% | $5.2B | $59.42 | +25% | $10.0B | $143.84 | +45% | $17.6B | $278.19 |
| +6% | $5.4B | $62.68 | +26% | $10.3B | $149.25 | +46% | $18.1B | $286.51 |
| +7% | $5.5B | $66.04 | +27% | $10.6B | $154.77 | +47% | $18.5B | $295.00 |
| +8% | $5.7B | $69.49 | +28% | $10.9B | $160.43 | +48% | $19.0B | $303.66 |
| +9% | $5.9B | $73.04 | +29% | $11.2B | $166.22 | +49% | $19.5B | $312.49 |
| +10% | $6.1B | $76.67 | +30% | $11.6B | $172.13 | +50% | $20.0B | $321.50 |
| +11% | $6.4B | $80.41 | +31% | $11.9B | $178.19 | +51% | $20.6B | $330.69 |
| **+12%** | **$6.6B** | **$84.24** | +32% | $12.3B | $184.38 | +52% | $21.1B | $340.06 |
| +13% | $6.8B | $88.17 | +33% | $12.6B | $190.70 | +53% | $21.6B | $349.61 |
| +14% | $7.0B | $92.21 | +34% | $13.0B | $197.17 | +54% | $22.2B | $359.34 |
| +15% | $7.3B | $96.35 | +35% | $13.4B | $203.78 | +55% | $22.8B | $369.26 |
| +16% | $7.5B | $100.59 | +36% | $13.7B | $210.54 | +56% | $23.3B | $379.37 |
| +17% | $7.8B | $104.95 | +37% | $14.1B | $217.44 | +57% | $23.9B | $389.68 |
| +18% | $8.0B | $109.41 | +38% | $14.5B | $224.49 | +58% | $24.5B | $400.18 |
| +19% | $8.3B | $113.98 | +39% | $14.9B | $231.69 | | | |

## Balance sheet and share count reconciliation

Enterprise value converts to equity value after net debt, and targets divide by diluted shares.

| SCENARIO | ENTERPRISE VALUE | EXIT EV/ FCF | TERMINAL GROWTH | PLUS: NET CASH | EQUITY VALUE | TARGET |
|---|---|---|---|---|---|---|
| **Bear** | $3.76B | — | 3.0% | -$1.79B | $1.97B | **$34.69** |
| **Base** | $5.34B | — | 3.0% | -$1.79B | $3.54B | **$62.38** |
| **Bull** | $7.82B | — | 3.0% | -$1.79B | $6.02B | **$106.12** |

## Fair value across scenarios

Model fair value by year under each scenario, on the same paths the ticker page chart draws.

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| SCENARIO | 2026 | 2026 | 2027 | 2028 | 2029 | 2030 |
|---|---|---|---|---|---|---|
| **Bear** | $37.63 | $37.63 | $37.23 | $36.46 | $35.45 | $34.17 |
| **Base** | $67.67 | $67.67 | $68.88 | $69.67 | $70.10 | $70.10 |
| **Bull** | $115.12 | $115.12 | $119.17 | $122.70 | $125.64 | $127.82 |

*Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $66.39 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.*

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# The franchise deep dive

Federal and state infrastructure funding; public contract awards expected up 10-15% in FY2026

Vertical integration with over 50% of liquid asphalt supplied internally, supporting pricing power

M&A roll-up: 17 acquisitions since FY2024 with $140M of acquired revenue carrying into FY27

Private demand from data centers, warehouses, and industrial projects across eight Sunbelt states

## Revenue and margin trend

| METRIC | FY22 | FY23 | FY24 | FY25 | 9M FY26 |
|---|---|---|---|---|---|
| **Revenue** | $1.30B | $1.56B | $1.82B | $2.81B | $2.58B |
| **Adj EBITDA Margin** | 8.5% | 11.1% | 12.1% | 15.1% | 14.3% |
| **Net Income** | $21.4M | $49.0M | $68.9M | $101.8M | $85.9M |

## Valuation cross-check

P/E (fwd) 21.7x

DCF Base $62.61 (-24.3%)

TTM EPS $2.39

Forward multiple looks reasonable on its own, but DCF says the price embeds growth the model cannot underwrite. The absolute verdict is negative at $82.71.

Infra peers trade 15-25x fwd P/E

Analyst avg target $133.50

Roughly in line with acquisitive infrastructure peers on forward earnings. Analyst targets imply 60%+ upside, but our DCF is the binding constraint.

Forward P/E 21.7x vs hist avg 30.8x

52-wk range $87.65-$151.00

Trading below its own historical multiple and near the 52-week low, which usually signals value. Here it signals the market repricing acquisition-driven growth.

## What to monitor

**Late Nov 2026.** Q4 FY26 Earnings (Two-Sided): Full-year guidance test. Backlog conversion and leverage progress are the numbers that matter.

**2026-2027.** Highway Bill Reauthorization (Positive): A new multi-year federal bill would de-risk the funding backdrop for years.

**FY2027.** M&A Pipeline (Positive): $140M of acquired revenue carries into FY27 with an active platform and tuck-in pipeline.

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**Oct 2026.** J.H. Strain Integration (Positive): West Texas acquisition adds two asphalt plants in the Abilene market with data center exposure.

## Financial summary: income statement

| YEAR | REVENUE | GROSS PROFIT | OPERATING INCOME | EBITDA |
|---|---|---|---|---|
| **2021** | $911M | $120M | $30M | — |
| **2022** | $1.3B | $139M | $32M | $102M |
| **2023** | $1.6B | $196M | $70M | $162M |
| **2024** | $1.8B | $258M | $111M | $204M |
| **2025** | $2.8B | $439M | $240M | $373M |

## Balance sheet

| YEAR | TOTAL ASSETS | TOTAL LIABILITIES | TOTAL EQUITY | CASH |
|---|---|---|---|---|
| **2021** | $807M | $398M | $409M | $57M |
| **2022** | $1.1B | $640M | $456M | $36M |
| **2023** | $1.2B | $703M | $517M | $48M |
| **2024** | $1.5B | $968M | $574M | $75M |
| **2025** | $3.2B | $2.3B | $912M | $156M |

## Cash flow

| YEAR | OPERATING CF | CAPEX | FINANCING CF | FREE CF |
|---|---|---|---|---|
| **2021** | $48M | $56M | $124M | $105M |
| **2022** | $16M | $-69M | $159M | $-52M |
| **2023** | $157M | $-98M | $-264,000.00 | $59M |
| **2024** | $209M | $-88M | $126M | $121M |
| **2025** | $291M | $-138M | $1.1B | $153M |

*Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $66.39 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.*

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# Agency risk score 38 of 100: high agency risk, the value-trap profile

The score follows the website's Executive Alignment & Agency Risk model: insider ownership up to 40 points, open-market Form 4 flow over the trailing six months up to 30, and pay-for-performance up to 30. Insiders hold 1.29% of shares outstanding. Form 4 filings over the trailing six months show $0 of open-market purchases against $0 of sales, a net flow of $0. One-year total shareholder return is -29.4% against CEO total pay of $3.54M (Mr. Fred J. Smith III), which the model scores as SUB-OPTIMAL ALIGNMENT.

**38**

AGENCY RISK SCORE, OF 100

## The three components

| COMPONENT | SCORE | WHAT THE SITE SHOWS |
|---|---|---|
| **Insider Ownership (Skin in the Game)** | 8 / 40 | 1.29% of shares held by insiders |
| **Form 4 Flow (Conviction Flow)** | 18 / 30 | Buys $0 (0) vs sales $0 (0), net $0, trailing six months |
| **Pay-for-Performance** | 12 / 30 | SUB-OPTIMAL ALIGNMENT: Negative Shareholder Returns vs Static Executive Comp. 1Y TSR -29.4%; Mr. Fred J. Smith III, President, CEO & Director, total pay $3.54M |
| **Agency Risk Score** | **38 / 100** | Regime: HIGH AGENCY RISK // VALUE TRAP |

## SEC proxy audit, DEF 14A filed 2026-01-27

**Alignment grade B.** COMPENSATION DOUBLES ON M&A (+107.0%). Fred J. (Jule) Smith, III, fiscal 2025 vs fiscal 2024; total compensation change year on year: +107.0%.

| BASE SALARY | STOCK AWARDS | NON-EQUITY INCENTIVE | OTHER COMPENSATION |
|---|---|---|---|
| **$837,308** | $2,870,328 | $875,000 | $57,828 |

CEO total compensation surged 107.0% in fiscal 2025, heavily driven by $1.77 million in discretionary transaction and stock bonuses alongside $2.87 million in stock awards tied to transformative M&A (notably Lone Star Paving). Formulaic annual cash incentives achieved 100% of target on $423.7 million Adjusted EBITDA against a $420.0 million budget, while 3-year performance units vested at maximum levels boosted by top-decile relative TSR (96th percentile vs. Russell 2000). While pay-for-performance alignment is supported by strong operational beats and extraordinary stock returns, the Compensation Committee's

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heavy reliance on discretionary transaction bonuses outside formal peer benchmarking warrants ongoing monitoring.

Proxy audit source: SEC EDGAR DEF 14A, audited 2026-10-18 by the weekly proxy pipeline. Filing: https://www.sec.gov/Archives/edgar/data/1718227/000162828026003572/road-20260127.htm

*Methodology. This module reuses the website's Executive Alignment & Agency Risk model unchanged. Scores of 75 and above band as founder-mode, high conviction; 45 to 74 as balanced, typical corporate; below 45 as high agency risk. Inputs are the same feeds behind the site model (Yahoo Finance insider holdings, Form 4 transactions and executive compensation) plus the SEC DEF 14A CD&A audit from the weekly proxy pipeline. Computed 21 October 2026 for this note.*

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## The bear case

### Leverage

Debt to EBITDA sits near 3.2x against a 2.5x target, and $90.4M of annual net interest expense consumes most of operating income. Deleveraging has to happen before the multiple can expand.

### Federal Funding Reauthorization

The federal highway bill faces reauthorization uncertainty. Management expects no major disruption from a continuing resolution, but short-term projects could take priority until a multi-year bill passes.

### Acquisition Integration

Seventeen acquisitions since FY2024 drive most of the growth. Integration missteps or overpaying for the next platform deal would impair the compounding story.

### Seasonality and Weather

Paving is seasonal and weather-exposed; wet weather already weighed on Q3 energy costs and scheduling. Quarterly results will always be lumpy.

## The strengths

### Operating Quality

Regional density across eight Sunbelt states with real vertical integration in asphalt gives pricing power most pavers lack. But GAAP net margins are thin at ~3.6%, growth is heavily acquisitive, and 3.2x leverage with $90M of annual intere

### Recent Trend

Strong across the board: FY25 revenue up 54%, adjusted EBITDA up 92% with margin expanding to 15.1%, Q3 revenue up 28% with a 6.8% EPS beat, and backlog at a record $3.36B covering 80-85% of the next 12 months.

### Forward Growth

7-8% organic growth guided for FY26 plus a proven M&A engine with $140M of acquired revenue entering FY27. IIJA and state funding are tailwinds. The federal highway bill reauthorization is the key overhang.

### Valuation

Our DCF base of $62.61 is 24.3% below the $82.71 price. The market prices an 11.5% implied growth rate that our model says is too rich. Forward P/E of 21.7x sits below the 30.8x historical average, but that does not close the DCF gap.

## Cascadia scorecard

**Composite score 58: Fair.** Confidence High, as of 17-Oct-2026.

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| PILLAR | RATIONALE | SCORE |
|---|---|---|
| **Operating Quality** | Regional density across eight Sunbelt states with real vertical integration in asphalt gives pricing power most pavers lack. But GAAP net margins are thin at ~3.6%, growth is heavily acquisitive, and 3.2x leverage with $90M of annual interest is a genuine constraint. | 58 |
| **Recent Trend** | Strong across the board: FY25 revenue up 54%, adjusted EBITDA up 92% with margin expanding to 15.1%, Q3 revenue up 28% with a 6.8% EPS beat, and backlog at a record $3.36B covering 80-85% of the next 12 months. | 80 |
| **Forward Growth** | 7-8% organic growth guided for FY26 plus a proven M&A engine with $140M of acquired revenue entering FY27. IIJA and state funding are tailwinds. The federal highway bill reauthorization is the key overhang. | 68 |
| **Valuation** | Our DCF base of $62.61 is 24.3% below the $82.71 price. The market prices an 11.5% implied growth rate that our model says is too rich. Forward P/E of 21.7x sits below the 30.8x historical average, but that does not close the DCF gap. | 40 |
| **Catalysts & Risk** | Q4 earnings and the FY27 outlook in late November are the near-term test, with highway bill reauthorization as the macro swing factor. Leverage, integration of 17 deals, and weather-exposed seasonality tilt the skew negative at this price. | 45 |

## Investment view

Q4 FY26 results and the FY2027 outlook in late November decide it: if organic growth holds 7-8% and leverage drops toward 2.5x, the downside case fades. If integration stumbles or the highway bill stalls, our $62.61 base becomes the ceiling rather than the floor.

**Investment view: Hold. The $66.39 blended target implies -21%, balancing the $34.69 / $62.38 / $106.12 Bear / Base / Bull outcomes.**

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